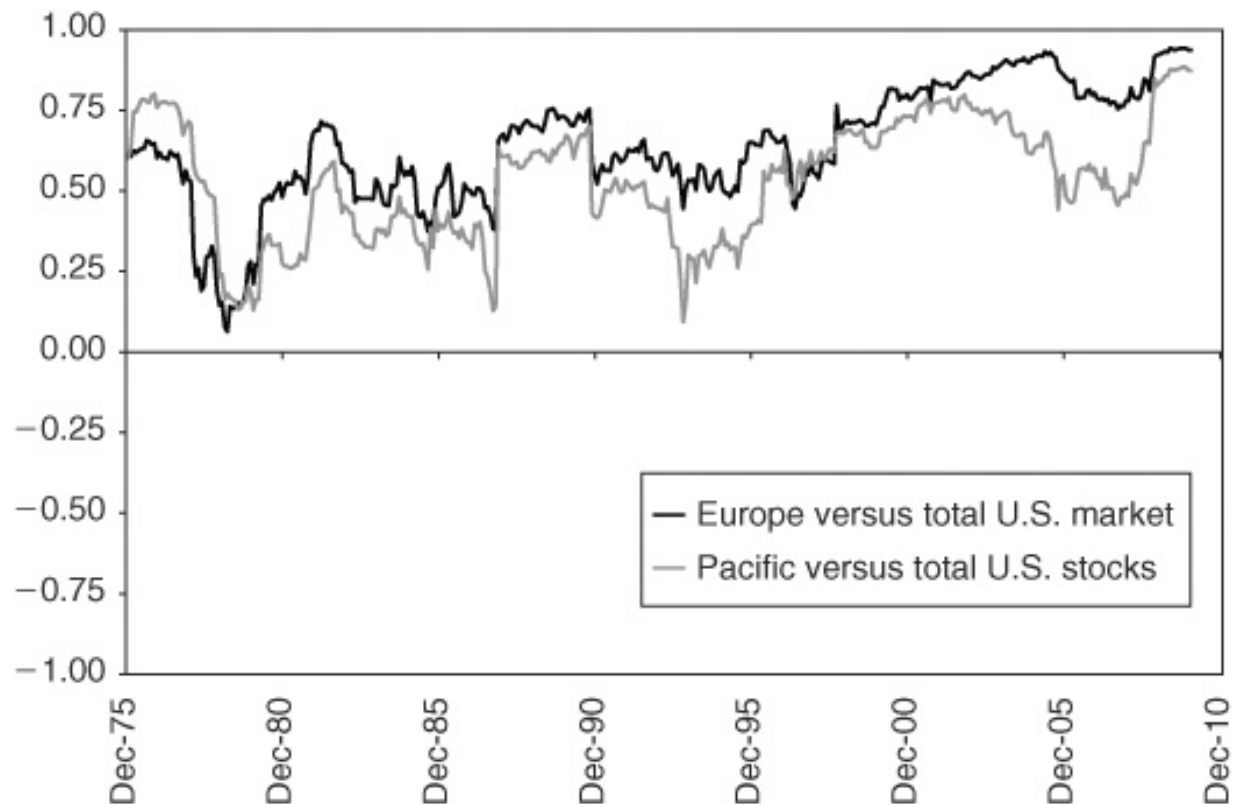


FIGURE 7-6

Rolling 36-Month Correlation between Total U.S. Market, Europe, and the Pacific Rim



A BETTER INTERNATIONAL ALLOCATION

EAFE Index performance should equal the U.S. market over the long term, plus or minus currency adjustments. There's no reason to believe that one market or one industry within a market is going to produce higher returns for very long, since capital can flow freely to most developed nations. We live in a global economy. If there is an opportunity to profit from stocks in one developed market, then money will quickly flow across continents to bring that market up to its fair value. For example, all developed countries have large banks that make loans around the world. The banking industry in Europe is not going to outperform the banking industry in the United States for very long.

Since all regions are expected to perform the same over the long term, why bother to invest internationally? You invest internationally mainly to gain currency diversification and, to a lesser degree, to increase security